

RTX CORPORATION (NYSE: RTX)

The Aerospace Fortress, Priced for the Recovery

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
SELL	\$120	\$184.68 Oct 2, 2026	-35.0%	Medium Beta ~0.8

Snapshot			
Market cap	~\$249 bn	Shares outstanding	~1,348 mn
Enterprise value	~\$279 bn	52-week range	\$155.64 – \$226.88
Net debt	~\$29.5 bn (~1.8x EBITDA)	YTD / 1-yr return	-0.1% / +12.3%
2026E adj. EPS (raised guide)	\$7.10 – \$7.25	Forward P/E	~25.8x
Record backlog (Q2'26)	\$289 bn (+22% YoY)	Q2'26 FCF	\$2.9 bn
Dividend (indicated)	\$2.92 (1.6% yield)	Analyst consensus	Moderate Buy; avg PT ~\$230

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from RTX's SEC filings and earnings releases, its public program disclosures, and reputable financial press as of October 2, 2026. Projections and the price target are the author's estimates.

1 Investment Thesis

RTX is the most diversified aerospace and defense franchise in the world: it builds the engines (Pratt & Whitney), the aircraft systems around them (Collins Aerospace), and the missiles and radars that defend against them (Raytheon). The business is firing on all cylinders — **record \$289 billion backlog (+22%), guidance raised twice in 2026, margin expansion in all three segments, and the GTF engine crisis transitioning into recovery** — yet the stock has fallen 18% from its August high to \$184.68. That de-rating was about valuation, not fundamentals. The problem is deeper: **the price still embeds the recovery — and then some.**

Our hardened 10-year scenario DCF puts fair value at **\$120**: bear \$32, base \$126, bull \$190. The old model ran on 7.0–8.5% WACC with 82% of the base-case value sitting in the terminal — the optimism was in the discount rate. The rebuild discounts at 11.5% / 9.0% / 8.0%, terminals at 1.75% / 2.5% / 2.5% on normalized mid-cycle margins, and the value falls 35% below the quote. Note the damning arithmetic: **the bull-case fair value (\$190) is essentially the current price** — the market is already pricing flawless execution of the GTF recovery plus a defense supercycle. At 26x forward earnings the recovery is not just in the price; it is fully paid for. We rate RTX **SELL** with a **\$120 target** (–35.0%). The call is straightforward: an excellent business at a price that leaves no room for anything to go wrong — and plenty that can.

What could change our mind

Upgrade to HOLD: a pullback toward ~\$120; Q3 results (late October) showing GTF shop-visit costs falling faster than guided; AMRAAM appropriated in full; or the White House lifting the executive-order freeze on defense-contractor buybacks, restoring ~2–3% annual EPS accretion.

Downgrade to SELL: 2027 defense appropriations disappoint (the \$20.7B AMRAAM award is provisional on Congress); a widening of the GTF inspection scope; or commercial aero demand rolling over with the stock still above 24x earnings.

2 Business Overview

RTX was formed by the April 2020 merger of Raytheon and United Technologies and renamed from Raytheon Technologies in July 2023. Headquartered in Arlington, Virginia, it employs ~180,000 people under Chairman & CEO Chris Calio. The portfolio is deliberately balanced: roughly half the revenue touches commercial aerospace, half defense — the two cycles rarely trough together, which is the strategic logic of the conglomerate.

Segment	2025 sales	2025 op. profit (margin)	What it does
Collins Aerospace	\$30.2 bn	\$4.9 bn (16.3%)	Avionics, interiors, power & controls, landing gear, mission systems. The margin leader: high aftermarket content, deep OE positions on Airbus/Boeing.
Pratt & Whitney	\$32.9 bn	\$2.6 bn (7.9%)	GTF (PW1100G) for A320neo, PW1500G/1900G; sole-source F135 for every F-35; F100, PT6. Margins depressed by GTF remediation — the recovery lever.
Raytheon	\$28.0 bn	\$3.2 bn (11.5%)	Patriot & LTAMDS air defense, NASAMS, AMRAAM, Tomahawk, SM-3/SM-6, radars, hypersonics, Coyote counter-UAS. The defense-cycle engine.

Customer concentration is modest for a prime: sales to the U.S. government were 38% of 2025 revenue, foreign military sales 8%, direct foreign commercial 7%, and commercial aerospace 48%. Airbus is the largest single commercial customer at ~14% of sales. Intersegment sales (\$2.6B, mostly Collins into Pratt) are eliminated at the corporate line.

The backlog is the balance sheet of future revenue: **\$289 billion at June 30, 2026** (\$170B commercial / \$119B defense), up 22% year over year, with a book-to-bill well above 1. Raytheon alone booked nearly \$20 billion of awards in Q2 — over \$5 billion of Patriot GEM-T interceptors, \$4 billion-plus of classified work, and \$1.8 billion of AMRAAMs — and the \$20.7 billion multiyear AMRAAM award on September 28 will build the book further.

3 Product Evaluation & Pricing Models

RTX monetizes on three distinct axes — **razor-and-blades aftermarket annuities, defense contract economics, and OE shipset positions** — each with its own pricing logic. Understanding which dollar is which is the key to valuing the company.

Product	Pricing model	How it monetizes	Assessment
GTF / F135 engines Pratt & Whitney	Razor-and-blades + power-by-the-hour	Engines sold near cost to win the airframe; profit harvested over 20–30 years via EngineWise long-term service agreements, spare parts, and MRO shop visits priced per flight hour.	The crown-jewel annuity: 2,600+ GTF-powered aircraft and every F-35 ever built. Durability fixes (GTF Advantage: 2x time-on-wing) directly extend the profit tail.
Collins systems & aftermarket	OE shipset + spares / MRO	Line-fit positions on Airbus/Boeing (avionics, interiors, power) plus high-margin rotatable spares and overhaul. Commercial OE +26% and aftermarket +10% in Q2'26.	The quality compounder inside RTX: 16%+ margins, less cyclical than engines, benefits from both production-rate recovery and fleet aging.
Patriot / LTAMDS / NASAMS	FMS + DoD contracts	Systems sold via Foreign Military Sales (Netherlands \$627M, Romania, Germany coalition) and DoD procurement; interceptors (GEM-T) are the recurring round.	A wartime-demand franchise: interceptor orders are consumable-like. European co-production (COMLOG JV, first EU Patriot facility Sep 2026) de-risks capacity.
AMRAAM / Tomahawk / SM family	Multiyear fixed-price + cost-plus mix	\$20.7B AMRAAM multiyear (Sep 2026), \$22.9B Tomahawk 7-yr Navy deal; fixed-price is only ~19% of company sales — far less risky than Lockheed's ~60%.	Volume leverage story: AMRAAM output nearly doubled in 2025, targeting 1,900+/yr; Tomahawk >1,000/yr. Margin expands as fixed costs absorb.
Golden Dome / sensors & space	Development + production options	One of three primes (with LMT, NOC) on the \$185B missile-defense shield; LTAMDS GaN AESA radars, SM-3/SM-6 effectors, HBTSS tracking. Blue Canyon sold to MDA for \$620M.	The 2030s growth option. Real but unappropriated — underwrite the backlog you can see, treat Golden Dome as upside.

Net assessment: the pricing architecture is **annuity-heavy by design** — flight-hour service contracts, interceptor reloads, and spares compound without new wins. The vulnerability is the front end: engines and systems sold thin to win platforms, so any durability or execution miss (GTF powder metal: ~\$3B charge, 600–700 shop visits) is paid in cash compensation and margin. That cycle is now turning from drag to tailwind.

4 Financial Analysis

The trajectory since the 2023 GTF charge is one of powerful repair: revenue has compounded ~10% annually, operating income is up 2.6x from its 2023 trough, and free cash flow has nearly doubled to a guided \$8.5–\$8.75 billion. 2026 is the year the guidance keeps moving up — raised after both Q1 and Q2 — on 16% organic growth in the second quarter and margin expansion in every segment.

\$ bn	2022	2023	2024	2025	2026E (guide)
Revenue	67.1	68.9	80.7	88.6	95.0–96.0
YoY growth	—	+2.7%	+17.2%	+9.8%	+7–8%
Operating income (GAAP)	5.5	3.6	6.5	9.3	—
Operating margin	8.2%	5.2%	8.0%	10.5%	~11%
Net income	5.2	3.2	4.8	6.7	—
Diluted EPS (GAAP)	\$3.50	\$2.23	\$3.55	\$4.96	—
Adjusted EPS	—	—	—	\$6.29	\$7.10–\$7.25
EBITDA	11.5	9.7	12.5	14.9	~16.5
Free cash flow	4.4	4.7	3.9	7.9	8.50–8.75
Dividend / share	\$2.29	\$2.36	\$2.52	\$2.72	\$2.92

Balance sheet & cash discipline

Total debt stood at ~\$37.4 billion at June 30, 2026 (down from \$37.9B at year-end) against \$8.3 billion of cash — net debt ~\$29.5 billion, or ~1.8x EBITDA. Both S&P (BBB+) and Moody's (Baa1) moved their outlooks to **positive** during 2026 as deleveraging progressed. Operating cash flow hit \$10.6 billion in 2025 with \$7.9 billion of free cash flow, and H1 2026 operating cash flow tripled year over year to \$5.4 billion. Capital returns are dividend-led for now: the quarterly payout was raised 7.4% to \$0.73 in April 2026 (indicated \$2.92 annually, ~1.6% yield), while **share repurchases are paused at zero** under the January 2026 executive order constraining payouts at defense contractors — a watch item, not a thesis-breaker, given the 41% payout ratio.

The tariff line: management absorbed roughly \$600 million of tariff impact in 2025 (steel/aluminum, supply chain). It is embedded in guidance rather than broken out for 2026 — one reason the raised EPS guide is more impressive than it looks.

5 Moat & Growth Drivers

Why the franchise endures

Certification and installed-base lock-in. Engines and flight-critical systems take a decade to certify and then earn for thirty years. Pratt is sole-source on every F-35; the GTF powers 2,600+ A320neo-family aircraft for 90+ operators. Switching costs are measured in re-certification, not price.

The aftermarket flywheel. Pratt commercial aftermarket grew 25% and Collins 10% in Q2. Every flight hour on a GTF or F135 is future high-margin shop-visit revenue — and as the powder-metal inspection wave passes, MRO capacity rotates from remediation back to profitable overhaul.

Defense-cycle breadth. From Patriot interceptors to LTAMDS radars to Tomahawk and AMRAAM, RTX owns the air-defense kill chain at the exact moment the U.S. and NATO are re-arming it. Fixed-price exposure is just ~19% of sales — structurally safer than Lockheed Martin's ~60%.

Where growth comes from, 2026–2030

1. **GTF margin normalization** — the single biggest earnings lever. Pratt's 7.9% 2025 margin recovers toward 12–14% as shop-visit costs fade and the more durable GTF Advantage (first delivery to United, September 2026; British Airways selected it for 64 A320neos) takes over the line by 2028.
2. **Munitions supercycle** — AMRAAM output nearly doubled in 2025 (target 1,900+/yr), Tomahawk targeted above 1,000/yr on the \$22.9B Navy contract, plus \$5B+ of Patriot GEM-T orders in a single quarter. Volume leverage on fixed cost bases.
3. **Golden Dome optionality** — named prime on the \$185B missile-defense shield; LTAMDS in low-rate production through 2030, SM-3/SM-6 framework agreements signed. Treat as upside to out-year numbers, not base case.
4. **Commercial production recovery** — Collins OE sales +26% in Q2 as Airbus/Boeing rates climb; every new delivery is a 25-year aftermarket annuity.

6 Competition

RTX fights a different rival in each segment — which is precisely why the conglomerate structure earns its keep.

Arena	RTX position	Key rivals	Assessment
Commercial engines	No. 2 narrowbody (GTF vs LEAP)	CFM (GE + Safran) LEAP: ~60–65% narrowbody share, record 1,802 deliveries in 2025; Rolls-Royce (widebody)	CFM won the reliability narrative during the GTF crisis. The GTF Advantage (2x time-on-wing) and the BA endorsement are the fightback — but share recapture is a multi-year grind.
Military engines	Dominant (F135 sole-source)	GE Aerospace (F110; lost the F-35 adaptive-engine bid in 2023)	The F135 ECU design review (Sep 2026) locks in Block 4 content and decades of depot work. This is the safest profit pool in the company.
Aerospace systems	No. 1 independent systems supplier	Honeywell Aerospace, Safran, Thales, GE Aerospace	Collins wins on breadth and OE incumbency; 16%+ margins lead the peer set. Certification moats make share sticky.
Missiles & air defense	Leader in air defense; co-leader in strike	Lockheed Martin (THAAD, PAC-3 MSE — won a \$58.6B 7-yr interceptor deal Jul 2026), Northrop Grumman, L3Harris, MBDA	Raytheon owns the sensor/shooter stack (LTAMDS beat Northrop head-to-head); Lockheed owns the PAC-3 interceptor. Both eat in a rearmament cycle — demand exceeds capacity.

Peer valuation context (Oct 2, 2026)

Company	Price	Forward P/E	Profile
GE Aerospace (GE)	~\$300+	~37–49x	Pure-play aero compounder; the multiple RTX bulls cite
Lockheed Martin (LMT)	~\$506	~17x	Pure defense prime; slower growth, cheaper
Northrop Grumman (NOC)	~\$482	~20x*	Defense prime; B-21 ramp
L3Harris (LHX)	~\$238	~23x (trailing)	Defense tech; mid-tier multiple
RTX	\$184.68	~25.7x	Hybrid: priced between defense primes and GE Aero — and at our bull-case fair value

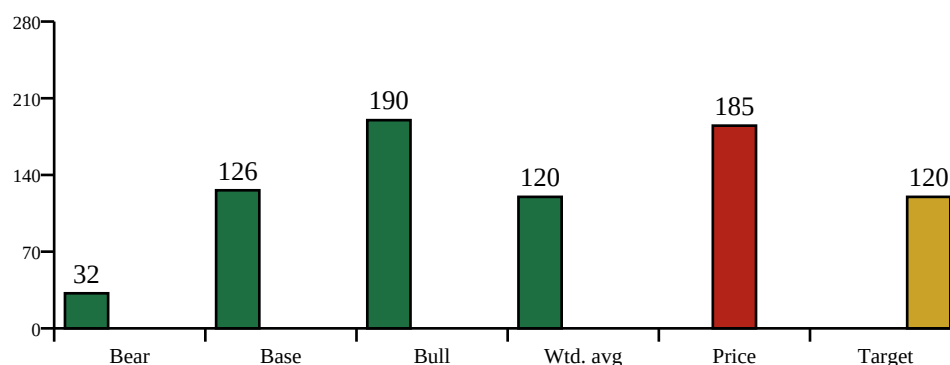
*NOC forward P/E approximate. Sources: company filings, MarketBeat/Finnhub market data, financial press, Oct 2, 2026. RTX at ~26x forward earnings sits well above pure defense primes (~17–20x) and well below GE Aerospace (~40x+) — the market already grants it a hybrid premium. Further multiple expansion needs the GTF recovery to show up in margins, not just headlines.

7 Valuation — Hardened 10-Year FCF DCF, Fair Value \$120

The old note ran on 7.0–8.5% WACC with **82% of the base-case value sitting in the terminal** — the optimism was in the discount rate. The rebuild uses a 10-year scenario free-cash-flow DCF with scenario-specific discounts — bear 11.5% (base + 250bp), base 9.0%, bull 8.0% (base – 150bp, floor 8%) — and terminal growth of 1.75% / 2.5% / 2.5% on year-10 FCF at normalized mid-cycle margins. Free-cash-flow base is \$7.5B (stripped of ~\$1.1B of H1 factoring flattery); net debt \$29.5B; 1,347.8M shares.

Scenario	10-yr rev. CAGR	Yr-10 FCF margin	Discount	Term. g	Fair value
Bear — commercial aero softens, AMRAAM/Golden Dome stall, GTF drag	1.9%	7.0%	11.5%	1.75%	\$32
Base — \$289B backlog converts, GTF costs fade, aftermarket flywheel	5.7%	10.5%	9.0%	2.5%	\$126
Bull — GTF Advantage durable by 2028, defense supercycle funded	6.9%	11.5%	8.0%	2.5%	\$190
Probability-weighted (25 / 50 / 25) → \$120 target					\$118–\$120

Scenario fair values vs. current price and target (\$)



The key exhibit: the market already prices the bull case. Bull-case fair value is \$190 — essentially the \$184.68 quote. Every bull-case assumption (GTF Advantage durable by 2028, the defense supercycle funded, Collins OE + aftermarket compounding) is already embedded in the price at the most generous discount rate the framework allows. There is no scenario in which a buyer today is compensated for being right — and the bear case (\$32, –83%) is genuinely painful: commercial aero softening, AMRAAM/Golden Dome appropriations stalling, GTF remediation dragging on.

Multiples confirm the message. At ~26x forward earnings RTX sits well above pure defense primes (~17–20x) and well below GE Aerospace (~40x+) — the market already grants it the hybrid premium. On 2027E free-cash-flow yield (~3.5%), the stock screens rich against any cash discipline. The SOTP on normalized segment earnings argues the market multiple is paying up for a recovery that must still be delivered.

Synthesis → \$120 target. Probability-weighted hardened DCF values the equity at \$118–\$120 (–35.0% vs \$184.68). The old \$190 target was the bull-case fair value wearing a HOLD's clothes — and the market has since confirmed it by pricing itself there. The Street's ~\$230 average target embeds *more* than the bull case. We would rather be early and right than consensus and fully priced.

8 Risks, Catalysts & Recommendation

Key risks

Defense-budget and appropriations risk. The \$20.7B AMRAAM award is provisional — Congress must appropriate. Golden Dome's \$185B is a decade-long promise, not a funded program. A \$1.5T FY2027 defense budget is proposed, not enacted.

Executive-order overhang on capital returns. The January 2026 order curtails buybacks/dividends at 'underperforming' contractors; RTX is doing zero buybacks and the dividend's compliance is reviewed, not guaranteed. Buyback resumption would add ~2–3% annual EPS accretion — its absence is a real cost.

GTF residual risk. The powder-metal wave is receding (AOG down ~25% YTD; the A220 'crisis is over'), but 600–700 shop visits run through 2026, compensation costs continue, and a September 2026 FAA directive on PW1500G/PW1900G compressor wear — technically distinct — shows regulatory scrutiny isn't finished.

Valuation itself (primary). At ~26x forward earnings and a 3.5% FCF yield, the stock is priced at our bull-case fair value (\$190): the recovery, the margin normalization, and the defense supercycle are all fully embedded. Any combination of slower commercial aero demand, tariff escalation beyond the ~\$600M absorbed in 2025, or a defense appropriations miss compresses the multiple from a high perch — with no upside scenario left to cushion it.

Execution on the munitions ramp. Doubling AMRAAM output and pushing Tomahawk past 1,000/year strains castings, forgings, and skilled labor — Switzerland's Patriot deliveries stretching to 5–7 years shows demand already exceeds capacity.

Catalysts

Q3 2026 earnings (late October): the second-half test — H2 guidance implies slower growth than H1's 16%; a beat with GTF costs falling would re-rate the recovery.

Appropriations & awards: AMRAAM funding confirmation, Golden Dome architecture decisions, further European Patriot orders.

Capital-return thaw: any softening of the executive-order stance restores the buyback — the cheapest upside option in the story.

GTF Advantage ramp: PW1100G production line transitions to Advantage spec by 2028; each durability data point de-risks the aftermarket annuity.

Recommendation

SELL, \$120 twelve-month target (Medium risk). RTX is that rare thing: a defense prime, an engine OEM, and a systems house in one, with a record \$289 billion backlog, twice-raised guidance, and its biggest historical overhang (GTF) turning into a tailwind. But quality is not the question — price is. Our hardened 10-year DCF values the equity at \$120 (bear \$32 / base \$126 / bull \$190) against a \$184.68 quote: **–35.0%**. The market has already underwritten the recovery we describe — the bull-case fair value *is* the current price. There is no upside scenario left to buy into, and the downside scenarios (commercial aero softening, AMRAAM appropriations stalling, GTF remediation dragging) are all unpriced. **Current holders should sell** — even with the 1.6% dividend, waiting at \$184.68 means earning nothing for being right. **We would upgrade to HOLD toward \$120**, where the base case offers a genuine margin of safety, and to BUY only below ~\$105. **Falsification:** GTF shop-visit costs falling faster than guided plus AMRAAM appropriated in full — or the buyback freeze thawed — would force a rebuild of the bear case and the call.

Sources: RTX 2025 10-K (SEC Edgar) and Q1/Q2 2026 earnings releases; RTX news center (F135 ECU design review Sep 15 2026; Netherlands Patriot award Apr 8 2026); Reuters (AMRAAM \$20.7B Sep 28 2026; Golden Dome Mar 17 2026; tariffs/EO); The Aviationist (Tomahawk \$22.9B Aug 18 2026; F135 ECU Sep 17 2026); Breaking Defense; MarketBeat analyst consensus; Teal Group segment analysis;

